

were a lot higher back then, and this was a significant cost saving. In addition, Dee's permanent portfolio was not subject to ill-timed buy and sell decisions based on emotional responses to market performance. We will see later that this is often a significant drag on investor returns.

Lack of portfolio turnover and emotionally based decision making were not the whole story, however. Dee also did not have to pay management fees to anyone. That saved her at least 1% per year, compared to what investors paid who were in mutual funds or other managed investment programs.

Finally, Dee's portfolio was well diversified. This was not true of most investor portfolios at the time. They usually had a bias toward a particular investment style, such as defensive, growth, large cap, and so on. Back then, large-cap "glamour" stocks, such as Avon, Coke, Disney, IBM, Kodak, McDonald's, Merck, Polaroid, and Xerox, were very popular. These "Nifty-Fifty" sometimes sold at enormous price/earnings (P/E) ratios. For example, in the 1970s, McDonalds' P/E was 68, Johnson & Johnson's was 62, and Coca-Cola's was 48. Extreme P/E ratios like these could be justified only if those companies had growth rates such that the value of, say, Avon stock would now exceed the gross domestic product (GDP) of some countries. The noted economist Kenneth Boulding once said, "Anyone who thinks steady growth can continue indefinitely is either a madman or an economist."²

Dee's randomly constructed portfolio did not have a particular bias or investment style. It was like the market itself—equally balanced among small cap, large cap, value, growth, and just about every other factor. In fact, Dee's portfolio was a more balanced portfolio than the Standard & Poor's 500 Index, with its large cap and growth stock tilt. Dee had unwittingly created the world's first index fund, and a good one at that. She did so without the need for brokers, money managers, or anything else, except a dictionary.

LESSONS LEARNED

The reasons for Dee's success were a life-changing revelation for me. Here are the lessons I took away from my understanding of why Dee was